

growth has lead to reliable dividend payments, an increase in market value, and real personal wealth creation for shareholders.

The broad U.S. market returned 10.9 percent annually from 1950 to 2009. That handily beat the 6.1 percent return on five-year Treasury notes and the 3.8 percent level of inflation. [Table 6-1](#) shows the inflation-adjusted returns over different periods of time. Inflation-adjusted returns are also known as *real* returns because that is the amount of purchasing power investors gained or lost. The real return does not include taxes.

Real returns reinforce the fact that inflation is an invisible tax on all investments. The portion of return that is related to inflation cannot be counted as investment gain. When creating an asset allocation for your portfolio, you should always consider the expected real return of the investments you are considering.

TABLE 6-1

Inflation-Adjusted U.S. Stock and Bond Returns

	1950–2009	1968–1982	2000–2009	Historic Range over Inflation
U.S. stocks	7.2%	0.2%	–2.9%	5% to 7%
Five-year T-note	2.2%	0.3%	3.0%	1% to 2%

Source: Center for Research in Security Prices (CRSP); St. Louis Federal Reserve

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It is not always easy to earn a real return in the U.S. stock market. There have been several periods of time between 1950 and 2009 when U.S. equities did not perform well. For 15 years, from 1968 to 1982, the inflation-adjusted return of U.S. equities was barely above the rate of inflation. From 2000 to 2009, U.S. stocks lost 2.9 percent annually with an adjustment for inflation. This was the worst performance for a real return since the 1930s Depression.

Stock investors should expect periods of time when equities do not make money after inflation. It is the nature of investment risk. This is also why time in the market is critical to stock investors. In the long run,